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Case Number: 25NWCV04114 Hearing Date: August 11, 2026 Dept: L

Defendant General

Motors, LLC's Demurrer to the fifth cause of action in the Complaint is
OVERRULED.

Defendant's Motion to

Strike is GRANTED without leave to amend.

Defendant to give notice.

Background

This is a lemon law action. On November 18, 2025, Plaintiffs Michael P Magee and Jessica L Magee ("Plaintiffs") filed this action against Defendant General Motors, LLC ("Defendant") and Does 1 to 10. The Complaint alleges Plaintiffs entered into a warranty contract with Defendant regarding a 2023 Chevrolet Silverado 1500 ("Subject Vehicle"). The Complaint alleges the Subject Vehicle manifested defects, including but not limited to, "transmission defects, engine defects, infotainment defects, electrical defects, brake defects" within the warranty period. (Compl., ¶ 11.) The Complaint alleges the following causes of action: 1) Violation of Subdivision (D) of Civil Code Section 1793.2, 2) Violation of Subdivision (B) of Civil Code Section 1793.2, 3) Violation of Subdivision (A)(3) of Civil Code Section 1793.2, 4) Breach of Implied Warranty of Merchantability, and 5) Fraudulent Inducement – Concealment.

Defendant now demurs to the fifth cause of action. Defendant also moves to strike portions of the Complaint pertaining to civil penalties.

Legal Standard

"[A] demurrer tests the legal sufficiency of the allegations in a complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (See Donabedian v. Mercury Ins. Co. ("Donabedian") (2004) 116 Cal.App.4th 968, 994 [in ruling on a demurrer, a court may not consider declarations, matters not subject to judicial notice, or documents not accepted for the truth of their contents].) For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (Aubry v. Tri-City Hosp. Dist. (1992) 2 Cal.4th 962, 967.)

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (Id.; Lewis v. YouTube, LLC (2015) 244 Cal.App.4th 118, 226.) However, "[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend." (Youngman v. Nevada Irrigation Dist. (1969) 70 Cal.2d 240, 245.)

Meet and Confer

Code of Civil Procedure section 430.41, subdivision (a) and section 435.5 require that the parties meet and confer "in person, by telephone, or by video conference."

On December 15, 2026, the parties met and conferred telephonically regarding the issues in the Demurrer and Motion to Strike but were unable to come to a resolution. (Goh Decl., ¶¶ 2-3.)

The Court finds that the meet and confer requirement has been met.

Discussion

Defendant makes two primary arguments in support of its Demurrer to the fifth cause of action for

fraudulent inducement – concealment: 1) the Complaint fails to allege facts with the requisite specificity to state a cause of action, and 2) the claim is barred by the economic loss rule.

The Court will address each argument in turn.

Particularity

i.

Content of Omitted Facts and Justifiable Reliance

Defendant first argues that the Complaint fails to allege with particularity the defect Defendant allegedly concealed. Further, the Complaint fails to identify by name the person who made the alleged omissions on behalf of Defendant. Lastly, the Complaint's allegations as to Plaintiff's justifiable and actual reliance are conclusory.

In opposition, Plaintiffs argue that particularity standards for fraud claims based on affirmative misrepresentations do not apply to fraudulent concealment cases. The Complaint sufficiently alleges the elements of a fraudulent inducement by concealment under *Dhital v. Nissan North America, Inc.* ("Dhital") (2022) 84 Cal.App.5th 828, 843-44. Specifically, the Complaint alleges misrepresentation / concealment, knowledge of falsity, intent to induce reliance, justifiable reliance, and damages.

The Court initially finds that the Complaint sufficiently alleges that the Subject Vehicle suffered from a defective 8-Speed transmission, and that Defendant had prior knowledge of such defect but failed to disclose such fact to Plaintiffs. (See Compl., ¶¶ 11, 46-48, 50, 54.) The Court finds such allegations are sufficient to establish that Defendant omitted certain material facts from Plaintiffs.

The Court further finds that pleading standards regarding the names of persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written are generally relaxed for fraudulent concealment claims. (See *Miles v. Deutsche Bank Nat'l Trust Co.*

(2015) 236 Cal.App.4th 394, 403-404 [finding that plaintiff sufficiently alleged fraud, without alleging the names of the speakers and their authority to speak, where defendants possessed superior knowledge, and it is unrealistic to expect plaintiffs to know such information].) Rather, a fraudulent concealment claim primarily concerns a defendant's failure to reveal information that they had a duty to reveal to the plaintiff.

Lastly, the Court finds that the Complaint sufficiently alleges exclusive and superior knowledge of dangerous defects learned from identified sources (Compl., ¶¶ 49, 51-53, 56), and Plaintiffs' reliance upon the concealment that led to their unwanted purchase (Compl., ¶¶ 59-60). Such allegations are sufficient at this stage.

ii.

Duty to Disclose

"A duty to disclose

a material fact can arise if (1) it is imposed by statute; (2) the defendant is acting as plaintiff's fiduciary or is in some other confidential relationship with plaintiff that imposes a disclosure duty under the circumstances; (3) the material facts are known or accessible only to defendant, and defendant knows those facts are not known or reasonably discoverable by plaintiff (i.e., exclusive knowledge); (4) the defendant makes representations but fails to disclose other facts that materially qualify the facts disclosed or render the disclosure misleading (i.e., partial concealment); or (5) defendant actively conceals discovery of material fact from plaintiff (i.e., active concealment). (Civ. Code, § 1710, subd. (3); [Citation.] Circumstances (3), (4), and (5) presuppose a preexisting relationship between the parties, such as 'between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement. [Citation.] All of these relationships are created by transactions between parties from which a duty to disclose facts material to the transaction arises under certain circumstances.' [Citation.] Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large. [Citation.]"

(Rattagan v. Uber Technologies, Inc. ("Rattagan")

(2024) 17 Cal.5th 1, 40–41.)

Defendant argues that the Complaint

fails to allege facts establishing it had any duty to disclose. Firstly, the Complaint does not allege a duty to disclose based on a fiduciary relationship between the parties. Thus, the duty to disclose must arise from a direct transactional relationship. However, the Complaint fails to allege that direct transactional relationship existed between the parties. Further, the Complaint fails to allege active concealment.

In opposition, Plaintiffs argue that the Complaint alleges a direct transactional relationship. Specifically, the Complaint alleges that Plaintiffs entered into a “warranty contract” with Defendant regarding the vehicle. (Compl., ¶ 6.) Thus, Plaintiffs had entered into a contractual agreement giving rise to a duty to disclose. Such relationship was between Defendant and Plaintiffs, not Defendant and the public at large. Plaintiffs further argue that a “transactional relationship” does not necessarily require privity in the sale.

The Court notes that the reply does not specifically address Plaintiff’s argument that the Complaint alleges a contractual relationship via the warranty agreement. Defendant simply does not recognize the warranty as a contract as alleged. Rather, Defendant argues that the fact that the warranty was provided to Plaintiffs in connection with the vehicle sale does not arise to a direct dealing between the parties.

The Court finds that the relationship between Plaintiffs and Defendant arises from a specific contractual transaction—the alleged “warranty contract.” (Compl., ¶ 6.) Defendant entered into such a relationship with Plaintiff, and not merely with the general public, creating a sufficient “transactional relationship” supporting a duty to disclose. (See Rattagan, *supra*, 17 Cal.5th at p. 41, citing *Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 312; see also *Scherer v. FCA US, LLC* (S.D. Cal. 2021) 565 F.Supp.3d 1184, 1194 [discussing the *Bigler-Engler* case and holding that a duty to disclose was properly grounded in the parties’ contractual relationship reflected in the warranty agreement].) Further, the Complaint alleges that Defendant has superior and exclusive knowledge of the defect, as discussed previously. (See Compl., ¶¶ 49, 51-53, 56)

Thus, the Court finds that the Complaint adequately alleges grounds for Defendant’s duty to disclose.

Economic

Loss Rule

“A plaintiff may assert a tort claim

for fraudulent concealment based on conduct occurring in the course of a contractual relationship, if the elements of the cause of action can be established independently of the parties' contractual rights and obligations and the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the agreement. (Rattagan, supra, 17 Cal.5th 1, 38.)

Defendant argues that the fraudulent

inducement – concealment claim is barred by the economic loss rule according to Rattagan. Specifically, Defendant argues that the “risk that the transmission in Plaintiff[s]’ vehicle might be defective is precisely one of the risks contemplated and allocated to GM when Plaintiff[s] accepted GM’s warranty promises.” (Dem., 15:17-19.) Plaintiffs’ remedies sound in breach of the warranty, not in tort.

In opposition, Plaintiffs argue that the

economic loss rule does not apply to claims for fraudulent inducement. As Plaintiffs have alleged fraud in the inducement, the Rattagan case’s rule applying the economic loss rule to fraud-in-the-performance claims does not apply. Rather, the Dhital case held that the economic loss rule does not apply to fraudulent inducement claims. Even if the Court applies the Rattagan test, the economic loss rule still does not apply because 1) the warranty did not allocate the risks of Defendant fraudulently concealing defects, 2) Defendant has an independent tort duty to refrain from fraudulent practices, and 3) Defendant breach of its duty disclose such defects are separate from its duties to repair the Subject Vehicle under the warranty.

The Court finds that Plaintiffs

allege fraudulent concealment claim is partially based on omissions that occurred prior to the sale of the Subject Vehicle—i.e., it is based on fraudulent inducement. Thus, the Rattagan test in applying the economic loss rule does not apply. (Compl., ¶ 47.)

To the extent the Complaint is based

on alleged concealment during the course of the contract (Compl., ¶ 47), the Court finds that a party purchasing a vehicle does not bargain with the expectation that the automotive manufacturer is concealing known material

defects from them. The risks of such a concealment are not allocated within the warranty. There are also public policy reasons, exclusive of the contract, for not wanting an automotive manufacturer to withhold information on such defects, including safety. As noted by the Rattagan court, public policy has viewed fraudulent concealment on equal footing with affirmative misrepresentations. (Rattagan, supra, 17 Cal.5th 1, 26.) These public policy reasons are exclusive of the contract, and therefore tort liability would exist in such instances of fraudulent concealment. Plaintiffs' fifth cause of action is therefore not barred by the economic loss rule.

Based on the foregoing, Defendant's Demurrer to the fifth cause of action in the Complaint is OVERRULED.

Motion to Strike

Code of Civil Procedure, section 436 permits trial courts to strike out any irrelevant, false, or improper matter inserted in a pleading:

"The court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper:

(a) Strike out any irrelevant, false, or improper matter inserted in any pleading.

(b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court."

(Code Civ. Proc., § 436.)

Defendant moves to strike the following portions of the Complaint relating to civil penalties:

- Paragraphs 29, 30, and 31 in the First Cause of Action

- Paragraph 36 in the Second Cause of Action

- Paragraph

39 in the Third cause of Action

- Subdivision

(f) of the Prayer

Defendant argues the Complaint

fails to allege that Plaintiffs complied with certain statutory requirements for seeking civil penalties, and thus, the allegations must be stricken.

Civil Code of Procedure section

871.24, effective July 1, 2025, states the following, in relevant part:

“(a) At

least 30 days prior to the commencement of an action seeking civil penalties under subdivision (c) of Section 1794 of the Civil Code, the consumer shall do all of the following:

(1) Notify

the manufacturer of the consumer's name, the accurate Vehicle Identification Number (“VIN”) of the motor vehicle, and a brief summary of the repair history and problems with the motor vehicle.

(2) Demand

that the manufacturer repurchase or replace the motor vehicle.

[...]

(c)

At the time that the notice submitted pursuant to subdivision (a) is sent, the consumer shall have possession of the motor vehicle.

[...]

(h) An

action seeking restitution or replacement under Section 871.20 may be commenced without compliance with subdivision (a). In that event, the consumer shall have possession of the motor vehicle at the time of the filing of the complaint, and shall not seek civil penalties, whether by amendment of

the complaint or otherwise.”

(Code Civ. Proc., § 871.24,
subds. (a)(1)-(2), (c), (h), emphasis added.)

Defendant argues that Complaint
fails to allege that Plaintiffs complied with the 30-day notice requirement
pursuant to Civil Code of Procedure section 871.24, subdivisions (a) and (c)
prior to filing this action.

No opposition has been filed.

The Court agrees with Defendant.

The Complaint is devoid of allegations that Plaintiffs complied with the
pre-filing notice requirement pursuant to Civil Code of Procedure section
871.24, subdivisions (a) and (c). Thus, Plaintiffs are not entitled to civil
penalties.

Accordingly, Defendant's Motion
to Strike is GRANTED without leave to amend.